

Module 2

Marketing Fundamentals

Detailed Study Notes

Based on lecture slides and video transcript clips

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Contents Overview

- Phase 1: Analysis — Understanding the marketing environment, DESTEP, Porter's Five Forces, SWOT
- Phase 2: Strategy — STP: Segmenting, Targeting, Positioning, Value Proposition & USP
- Phase 3: Implementation — The Marketing Mix (4 Ps): Product, Price, Place, Promotion
- Phase 4: Evaluation — KPIs, marketing metrics at three levels, marketing accountability

Introduction

This document provides comprehensive study notes for **Module 2: Marketing Fundamentals**. It integrates the content presented in the lecture slides with the verbatim transcript of the four knowledge video clips. The module covers the complete marketing process, moving sequentially through analysis, strategy, implementation, and evaluation.

The four knowledge clips covered in this module, with their durations, are:

- Phase 1: Analysis (12'41")
- Phase 2: Strategy (08'32")
- Phase 3: Implementation (06'26")
- Phase 4: Evaluation (10'38")

Key sources: Kotler, Armstrong, Harris & Piercy (2017) *Principes van marketing*; Leroi-Werelds et al. (2023) *Marketing: The fundamentals*; Van Belleghem (2014) *Marketing: De nieuwe principes*.

The Marketing Process — Overview

The marketing process is a cyclical, four-phase framework through which organizations create value for customers and, in return, receive value from customers. The four phases are:

1. ANALYSIS

Gathering marketing intelligence about customers, competitors, and the broader environment.

2. STRATEGY

Making decisions on segmenting, targeting, and positioning (STP) to build a sustainable differential advantage.

3. IMPLEMENTATION

Translating strategy into action through the marketing mix (4 Ps: Product, Price, Place, Promotion).

4. EVALUATION

Assessing performance against objectives using metrics and KPIs at multiple levels.

Phase 1: Analysis

What is Marketing Analysis?

Marketing Analysis = The process of gathering and analyzing data that translates needs and wants of customers (and other stakeholders) as well as contextual factors into insights for marketing (i.e., marketing intelligence).

Successful marketing creates value for customers, but marketers cannot create that value without first understanding the needs and wants of customers and the context in which they operate. Marketing analysis provides the foundation for all subsequent marketing decisions — it is *marketing intelligence* that drives both strategy and implementation.

Marketing is not something done in an ivory tower, separate from the world. Organizations can only be successful if they constantly adapt to their **marketing environment**:

Marketing Environment = The players and forces inside and outside the organization that determine the extent to which marketing management is able to establish and maintain successful relationships with its customers.

External vs. Internal Analysis

Before thinking about strategy or implementation, marketers must understand the marketing environment. This analysis has two dimensions:

- **External analysis** — Everything outside the organization (macro trends, industry, competitors).
- **Internal analysis** — The organization's own strengths and weaknesses.

External Analysis

1. Macro-Analysis — DESTEP

Macro-analysis charts trends and developments at the macro level that might impact the business. The **DESTEP** acronym covers six domains:

- **D — Demographic environment:** Population size, age structure, household composition, urbanisation, migration trends.
- **E — Economic environment:** Income levels, economic growth, inflation, employment rates, consumer spending power.
- **S — Socio-cultural environment:** Lifestyles, values, cultural norms, social trends, consumer attitudes.

- **T — Technological environment:** R&D activity, new technologies, automation, digitisation, innovation pace.
- **E — Ecological environment:** Environmental regulations, sustainability trends, climate change pressures, resource scarcity.
- **P — Political-legal environment:** Government policies, trade regulations, taxation, consumer protection laws.

When screening the external environment, marketers must ask: Which trends represent **threats** to the business, and which trends represent **opportunities**?

2. Industry Analysis — Porter's Five Forces

It is also vital to analyse the industry in which the organization operates — its attractiveness and how its structure drives potential profitability. **Porter's Five Forces Framework** is one of the most well-known tools for this. It states that the structure of an industry is determined by five forces that ultimately determine profit potential and thus attractiveness:

- **The bargaining power of suppliers:**

If suppliers are few and powerful, they can dictate terms, raising costs for organizations.

- **The bargaining power of buyers:**

If buyers are few, large, or well-informed, they can negotiate lower prices or higher quality.

- **The threat of substitutes:**

Alternative products or services that meet the same need can limit an industry's profit potential.

- **The threat of new market entrants:**

Low barriers to entry invite new competitors, intensifying rivalry and reducing margins.

- **The internal competition (rivalry) among existing players:**

High rivalry (many competitors, slow growth, high fixed costs) reduces industry profitability.

3. Competitive Analysis

To succeed, organizations must not only satisfy customer needs but do so *better than competitors*. Competitive analysis involves understanding rivals' strengths, weaknesses, strategies, and market positions. This helps identify where the organization can genuinely outperform the competition.

Internal Analysis — Competitive Advantages

Internal analysis gathers and analyzes data about the organization's own capabilities. The key questions are: What does the organization do exceptionally well? Where is it vulnerable? Crucially, these questions should be answered using **customer perceptions**, not just internal assumptions — step out of the ivory tower.

Competitive Advantage = A strength that, in a given market, influences the customer's buying process in favour of the organization. A sustainable competitive advantage creates value for both the customer and the organization.

Organizations can gain competitive advantages in terms of:

- Product
- Price
- Image
- Customer processes / service

SWOT Analysis

The **SWOT matrix** brings together the conclusions of both the external and internal analyses in an orderly framework. The four elements are:

- **Strengths** (internal positive factors) — What the organization does exceptionally well.
- **Weaknesses** (internal negative factors) — Where the organization is vulnerable.
- **Opportunities** (external positive factors) — Positive trends or gaps in the environment.
- **Threats** (external negative factors) — Developments that could harm the business.

Four Strategic SWOT Questions

- **SO — Strengths × Opportunities:** How can we use our strengths to take advantage of the opportunities?
- **ST — Strengths × Threats:** How can we use our strengths to reduce or undo threats?
- **WO — Weaknesses × Opportunities:** What weaknesses prevent us from seizing opportunities?
- **WT — Weaknesses × Threats:** What weaknesses make us even more vulnerable to threats?

Final Reflections on Marketing Analysis

- **You need data:** Primary/secondary, qualitative/quantitative, behavioral/attitudinal — this is where marketing research comes in.
- **Stay ahead of the game:** Threats and opportunities can emerge quickly; the analysis must be ongoing.
- **SWOT is not the end:** It is a starting point for strategy, not the conclusion.
- **Involve others:** Multiple perspectives lead to a richer and more accurate analysis.
- **Prioritise:** Not all findings are equally important — focus on what matters most.

Phase 2: Strategy

What is Marketing Strategy?

Marketing Strategy = *The planning of actions and activities to build a sustainable differential advantage by creating a distinctive and meaningful position in the minds of target customers.*

The marketing strategy is developed *after* the marketing analysis has been completed. It must be consistent with the higher-level corporate strategy and business strategy of the organization. The strategy should enable the organization to create value for its target customers in a way that is distinct from what competitors offer.

The core framework for developing a marketing strategy is **STP**: Segmenting, Targeting, and Positioning.

Step 1: Segmenting

Market Segmentation = *The division of the market into distinct groups (so-called "segments") with different needs and wants that require a different marketing mix.*

It is impossible to please everyone with one single approach — customers are too numerous, too dispersed, and too different. Segmentation divides the total market into groups of customers who are similar to each other within the group, but different across groups.

Segmentation Criteria

- **Socio-demographic segmentation:** Age, gender, income, education, occupation, family size.
- **Psychographic segmentation:** Lifestyle, values, personality traits, interests.
- **Geographic segmentation:** Country, region, city, climate, urban vs. rural.
- **Behavioral segmentation (towards the brand):** Purchase frequency, loyalty, usage rate, benefits sought.
- **Needs-based segmentation:** Grouping by the specific advantages or solutions customers seek.

Example (needs-based segmentation): 3M sells a special tape that helps trucks increase their visibility on the road. The market can be segmented around the specific need for safety and visibility, rather than by demographic characteristics alone.

Step 2: Targeting

Targeting = The selection of one or more target segments on which to focus marketing efforts.

Once the market is divided into meaningful and distinctive segments, marketers must decide which segment(s) to serve. Targeting requires tough choices: who are we going after, and who are we deliberately *not* targeting? To evaluate segment attractiveness, consider:

- **Size:** Is the segment large enough to be profitable?
- **Growth:** Is the segment growing, and at what pace?
- **Competition:** How intense is the competition in this segment?
- **Fit with organisation:** Does the segment align with the organisation's capabilities, resources, and objectives?

The most attractive segment is large, fast-growing, has limited competition, and fits well with what the organization does best.

Step 3: Positioning

Positioning = Creating a distinctive and meaningful position in target customers' minds relative to competing and substituting offerings.

Positioning is about how you want customers to think and feel about your brand or product, relative to alternatives. Examples:

- **Volvo** — long-standing positioning based on *safety*.
- **Ryanair** — positioning based on *low fares*.

Value Proposition

Value Proposition = The "package" of functional benefits (quality aspects), reduced disadvantages (fewer "sacrifices" such as lower price or less wasted time), or more emotional values (e.g., status) that the organization promises the customer to meet their needs.

The value proposition is a promise from the organization about the value it will deliver to its target customers. Its goal is to convince customers to choose the organization over competitors and substitutes. It provides *reasons to buy*.

Example — Carglass: "Carglass repairs, Carglass replaces." They are the specialist in repairing and replacing car windows. Their value proposition includes: many service centres across Belgium and the Netherlands, a mobile service fleet, a permanent stock of over 220,000 windows, and a fast response to glass damage. This combination of speed, availability, and expertise forms their value promise.

Unique Selling Proposition (USP)

USP (Unique Selling Proposition) = A statement that highlights one specific benefit that makes the product or brand different from competitors. Unlike the full value proposition, the USP zeroes in on a single differentiating point.

Example — Domino's Pizza: "Delivered in 30 minutes or less." Their value proposition encompasses more (quality, taste, variety), but this single USP highlights the one benefit — speed of delivery — that sets them apart most powerfully.

Final Reflection on Strategy

The marketing strategy is not developed in isolation. It must be consistent with the higher-level corporate and business strategy, and it must be grounded in the insights generated during the analysis phase. Strategy without intelligence is guesswork; intelligence without strategy is wasted.

Phase 3: Implementation

What is Marketing Implementation?

Marketing implementation is the third phase of the marketing process. It is where strategy is translated into concrete action. The implementation must be consistent with both the marketing strategy (STP) and the higher-level corporate/business strategy.

Marketing Mix = A set of marketing instruments that work together to attract customers, satisfy their needs and wants, and build relationships with them.

The marketing mix is commonly referred to as the **4 Ps: Product, Price, Place, and Promotion**. Each P addresses a different but interrelated dimension of how the organization goes to market.

The 4 Ps of the Marketing Mix

1. Product

Product = Any good and/or service that customers can acquire, use, and/or consume to satisfy their needs and wants. It can be physical or digital in nature.

Products can take many forms:

- **Goods** — Tangible products that can be seen and touched (food, clothing, electronics, cars).
- **Services** — Intangible offerings such as a haircut, insurance, consulting, or streaming content.
- **Combinations** — Most modern offerings blend goods and services (a smartphone + app ecosystem).

To fulfil its value proposition, an organization must first create a market offering that genuinely satisfies a customer need. Without a product, there is nothing to offer.

2. Price

Price = The compensation expected by the organization for a customer to obtain a product. The compensation is typically expressed in a monetary currency (euros, dollars, etc.).

Price is the only element of the marketing mix that generates revenue; all others are costs. Pricing must reflect the value delivered to the customer, competitive dynamics, cost structures,

and strategic positioning. A premium brand charging a low price may undermine its own image.

3. Place (Distribution)

Place (Distribution) = The marketing mix instrument concerned with how the product is made available to the customer. Also known as the distribution strategy.

Even the best product at the right price is worthless if customers cannot access it. Place decisions involve:

- Choice of distribution channels (direct, retail, e-commerce, agents/distributors)
- Geographic reach and market coverage
- Logistics and supply chain management
- Inventory management and delivery speed

4. Promotion

Promotion = Communication used to inform, persuade, and remind current and prospective customers about the organisation's offerings.

Promotion ensures that potential customers are aware of what the organization offers and why they should choose it. Promotion tools include:

- Advertising (TV, digital, print, outdoor)
- Public relations and earned media
- Sales promotions (discounts, coupons, competitions)
- Personal selling
- Direct marketing (email, direct mail)
- Social media and content marketing

Integration of the 4 Ps

When assembling the marketing mix, it is critical to ensure **integration**. All four Ps must fit together coherently — the choices in one P should be consistent with and reinforce the choices in all others.

Example: Brands like BMW and Apple would severely damage their image if they suddenly started selling through discount retailers or drastically cut their prices. Their premium product, premium price, selective distribution, and aspirational communication all reinforce each other to create a coherent brand experience.

For each of the 4 Ps, marketers develop a specific strategy and set corresponding objectives. These strategies must align with the overall marketing strategy (STP) and, in turn, with the corporate strategy.

Phase 4: Evaluation

What is Marketing Evaluation?

The final phase of the marketing process is evaluation. After analysing the environment, developing a strategy (STP), and implementing the marketing mix (4 Ps), organizations must check whether their efforts are actually working.

***Marketing Evaluation** = The assessment of performance to investigate whether and to what extent the organisation has reached its marketing objectives.*

Evaluation answers two fundamental questions: Were the goals achieved? And *why* were they (or were they not) achieved? This understanding enables marketers to learn and adapt.

Metrics and KPIs

To evaluate performance, marketers must select **metrics** — quantifiable measures of performance. These are often called **KPIs (Key Performance Indicators)**. KPIs must reflect the strategy and objectives set in earlier phases.

Example — Uber: Part of Uber's value proposition is providing accurate Estimated Arrival Times (ETA). It therefore makes perfect sense that Uber uses ETA accuracy as a KPI. The metric directly reflects what the organization promises its customers.

Three Levels of Evaluation

Strategies and objectives can be formulated at different levels. This means KPIs must also be defined at each of these levels:

- **Marketing Mix level** — Evaluating the effectiveness of each of the 4 Ps.
- **Marketing Strategy level** — Evaluating the success of STP decisions, especially positioning.
- **Corporate / Organizational level** — Evaluating the overall value created for customers and the organization.

Level 1: Marketing Mix Evaluation

For each of the 4 Ps, a strategy is developed and objectives are set — therefore, KPIs should be defined for each P: **product metrics, promotion metrics, place metrics, and price metrics.**

Two examples:

- **Promotion metric — Brand Awareness:** When launching a new brand with an advertising campaign, brand awareness can be measured through: (1) *Top-of-mind awareness* — the first brand that comes to mind in a category; (2) *Brand recall* — ability to name the brand when prompted by a category; (3) *Brand recognition* — ability to identify the brand when shown or described.
- **Place metric — On-Shelf Availability:** Formula: $(\text{Availability time} \div \text{Total time}) \times 100$. Measures what percentage of time a product is actually available on a retailer's shelf — a product that is out of stock cannot generate sales.

Level 2: Marketing Strategy Evaluation

At this level, evaluation focuses on the success of the STP strategy — particularly on **brand positioning**. The goal is to understand what perceptions target customers actually hold about the brand.

Brand associations can be assessed across three dimensions:

- **Cognitive associations:** Thoughts, beliefs, and evaluations that customers relate to the brand (e.g., "reliable", "innovative", "expensive").
- **Emotional associations:** Feelings evoked by the brand (e.g., joy, excitement, trust, nostalgia, anger).
- **Sensory associations:** Sensory impressions linked to the brand — sight, sound, smell, taste, or touch (e.g., the distinctive sound of a Harley-Davidson engine, the smell of a new car).

Measuring these associations helps determine whether the intended positioning has been successfully established in the target customers' minds.

Level 3: Corporate / Organizational Evaluation

The ultimate goal of all marketing activity is to create value for customers — and, in return, value for the organization. Evaluation at this highest level focuses on whether this dual value creation has been achieved.

Two key examples focusing on value for the customer:

- **Customer Satisfaction:** Measured via surveys asking customers to rate how satisfied they are with the organization, its products, or specific services. High satisfaction reflects successful value creation and is positively correlated with customer loyalty.
- **Net Promoter Score (NPS):** Based on the question: "On a scale of 0–10, how likely are you to recommend this company/product/service to a friend or colleague?" Respondents are classified as Promoters (9–10), Passives (7–8), or Detractors (0–6). $\text{NPS} = \% \text{ Promoters} - \% \text{ Detractors}$. A higher NPS indicates stronger customer advocacy.

Marketing Accountability

Marketing Accountability = Providing insight into and demonstrating the effects of marketing efforts.

In the past, marketers sometimes resisted measurement, arguing that marketing outcomes were intangible and financial returns impossible to quantify. This mindset has fundamentally changed. Today there is a much greater emphasis on demonstrating the financial return on marketing investments. Marketing managers must prove that their budgets are well spent — this legitimacy is essential to securing ongoing resources.

Closing Thoughts

Marketing evaluation brings the marketing process full circle. Insights from evaluation feed back into the next round of analysis, sharpening the marketing intelligence that will drive future strategy and implementation. The key principles:

- Focus on metrics that best reflect your strategy and objectives — do not try to measure everything.
- Evaluate at all three levels: marketing mix, marketing strategy, and corporate/organizational.
- Use KPIs to demonstrate accountability and justify marketing investment.
- Use evaluation insights to continuously improve the marketing process.

This completes the four-phase marketing process: **Analyse** → **Strategise** → **Implement** → **Evaluate** — and then begin again, continuously learning and adapting to deliver superior value to customers.